

Aptus Value Housing Q4 FY2026 Earnings Conference Call Transcript



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Across last 12 quarters, based on their annual report and investors call transcripts what are the core recurring themes in the management commentary and how they evolved? How has the management language around demand changed over time, especially during weak quarters and how did they perceive weak ones, accepted or blaming was observed?

Core Recurring Themes and Their Evolution

Across the analyzed quarters, the management of Aptus Value Housing Finance has maintained a highly consistent strategic narrative, though specific operational tactics have evolved to match the company's growing scale. The core recurring themes include:

- **Balancing Growth with Asset Quality and Profitability:** Aptus consistently emphasizes "growth with due importance in the quality of loan book" and maintaining top-tier financial metrics. Their medium-term goal evolved from simply maintaining a 25–30% AUM growth rate to explicitly targeting a milestone of INR 25,000 crores AUM by FY2028/FY2029. Through all cycles, they have prioritized an industry-leading Return on Equity (ROE), which evolved from ~16-17% in FY23/FY24 to crossing the 20% milestone in FY26.
- **Geographical Expansion strategy:** Their geographical strategy evolved from achieving "deep penetration" exclusively in their core southern markets (Tamil Nadu, Andhra Pradesh, Telangana, Karnataka) to a contiguous expansion into Odisha and Maharashtra. Initially framed as a "pilot project" with just a few branches, the expansion into these newer states gained significant traction, leading management to accelerate the rollout to 60-70 planned new branches across these regions by FY27.
- **Digital Adoption and Technological Integration:** Management commentary heavily tracks digital sourcing. The share of business generated through their customer referral app, construction ecosystem app, and social media evolved from 14% in Q1 FY24 to 21% by FY25/FY26. The integration of their mobile-first lead management software ("Ziva") and Account Aggregator data became a focal point for driving branch productivity and better underwriting.
- **Cost Control and Productivity:** A relentless focus on maintaining an optimized Operating Expenses (Opex) to Assets ratio is a persistent theme. Despite aggressive branch expansions, the management consistently guided and maintained this ratio at an industry-leading 2.5% to 2.8%.

- **Strategic Shift in Ticket Size and Customer Profile (The most notable evolution):** Initially, the company's average ticket size was around INR 8–9 lakhs. However, starting in July 2025 (FY26), management made a strict, conscious policy decision to **stop sourcing loans below INR 7 lakhs**. This evolved from a desire to clearly differentiate Aptus from microfinance-profile lending and to onboard higher-quality, better-profile customers, raising the average ticket size towards INR 10–11 lakhs.

Management Language Around Demand

The management's language regarding market demand has remained unflinchingly positive. They continually describe the demand as **"robust," "huge,"** and possessing a **"significant runway for growth"** due to low mortgage penetration in Tier 3 and 4 cities.

Crucially, **during weak quarters, management explicitly insulates market demand from their underperformance.**

They repeatedly clarify that any moderation in growth is *not* a demand problem. For example, during a sluggish period in Tamil Nadu, management firmly stated, "First, let us understand this fact, in Tamil Nadu first of all, there is no market-related issues. Market potential is good", and "The demand is not the issue... it is basically our internal issue".

Perception of Weak Quarters: Acceptance vs. Blaming

When navigating weak quarters or missing growth expectations, management's commentary displays a mix of taking direct ownership of internal missteps ("acceptance") and attributing softness to external, uncontrollable variables ("blaming").

1. Acceptance of Internal and Strategic Issues: Management was notably transparent in accepting responsibility for self-inflicted or operational headwinds:

- **Tamil Nadu Attrition:** When growth significantly lagged in Tamil Nadu during FY24 and FY25, management openly accepted that the issue was driven by internal staff attrition at the branch manager and sales officer levels. They admitted, "It is basically our internal issue, which is getting sorted out. It is not relating to any market-related thing".
- **Disbursement Moderation in FY26:** When Q1 and Q2 FY26 showed subdued disbursement growth (down to 3% QoQ), management fully owned that this was a "calibrated conscious" internal decision to halt loans under INR 7 lakhs. They accepted the "short-term impact" on their top line as a necessary trade-off for long-term customer quality.
- **Technology Teething Pains:** They also acknowledged that the rollout of their new Ziva software caused a temporary slowdown while staff adjusted to the new processes.

2. Attribution to External Exogenous Factors ("Blaming"): While they accept strategic missteps, management frequently leans on "seasonality" and environmental factors to explain away dips in asset quality or immediate disbursement volumes:

- **Weather and Natural Events:** They blamed "unprecedented rains and floods" in southern Tamil Nadu for a drop in collection efficiency and disbursements in December 2023. They also cited "temporary weather-related disruptions" and "summer heat" for slowing down construction activity and disbursements in Q1 FY26.
- **Elections and Calendar Events:** In Q1 FY25, a spike in 30+ DPD (Days Past Due) and subdued collections were blamed on the national elections and seasonal fatigue following the Q4 year-end push. Similarly, dips in collections in late FY25 were attributed to a "spate of holidays" and overlapping festivals, as well as customers redirecting funds towards "payment of school fees and vacations".

- **MSME Stress:** When SME loan non-performing assets (NPAs) slightly ticked up in Q3 FY26, management rationalized it by noting that borrowers were temporarily diverting business funds for personal consumption like health or marriages, rather than a failure of the underlying business models.

- Identify instances where management attributed performance to external factors vs. internal execution. Also did such perceptions have an impact on their results? Also, what were areas where the management failed to answer to people or what are the factors which pose a threat to the company. What made them uncomfortable which is even visible in their results?

Based on the earnings call transcripts and annual reports over the analyzed quarters, here is a detailed breakdown of how Aptus Value Housing Finance's management attributed performance, handled difficult questions, and perceived threats.

1. Attribution of Performance: External vs. Internal Execution

Management displayed a clear pattern of attributing short-term operational hiccups to external factors while owning strategic and structural changes as internal execution.

- **Internal Execution Attributions (and Impact on Results):**
 - **Staff Attrition in Tamil Nadu:** Management repeatedly accepted that sluggish growth in their core state of Tamil Nadu (which grew at 8-10% vs the company average of 25-30%) was an internal issue caused by high staff attrition at the branch level, driven by competitors poaching their employees,,. They explicitly stated, "It is basically our internal issue... It is not relating to any market-related thing".
 - **Strategic Policy Shifts:** When Q2 FY26 saw a sharp drop in disbursement growth to just 3% QoQ, management owned this as a "calibrated conscious" internal decision to completely stop sourcing loans below INR 7 lakhs to distance the company from microfinance-type profiles,.
 - **IT System Rollout:** A dip in disbursements in April 2024 was directly attributed to the internal rollout of their new mobile-first lead management software, "Ziva," which temporarily slowed down processing as staff adapted,.
 - **Accounting Policy Changes:** A sharp spike in credit costs from 20 bps to 50 bps in H1 FY26 was attributed to an internal accounting policy change where they accelerated the 100% technical write-off period for NPAs from 2 years down to 500 days,.
- **External Factor Attributions (and Impact on Results):**
 - **Weather and Natural Calamities:** Management blamed "unprecedented rains and floods" in southern Tamil Nadu for a drop in collection efficiency (down to 99.65%) and missed disbursement targets in December 2023,. They also cited summer heat for slowing down construction activity and related disbursements in Q1 FY26.

- **Elections and Festivities:** A spike in 30+ DPD (Days Past Due) in Q1 FY25 was attributed to the national elections delaying collections. Similarly, a drop in Q3 FY25 collections was blamed on a "spate of holidays" and overlapping major festivals.
- **MSME/SME Stress:** A slight uptick in SME non-performing assets was attributed to borrowers temporarily diverting business funds for personal consumption (like health emergencies or marriages) rather than a flaw in Aptus's underwriting.

2. Areas Where Management Failed to Answer or Evaded Questions

There were several notable instances where management became defensive, evaded direct questions, or refused to provide data, often pushing the conversation "offline":

- **Refusal to Share Absolute Monthly/Quarterly Data:** When analysts asked for specific absolute disbursement numbers for Q4, the Managing Director stated, "We will discuss this offline". When asked for exact monthly disbursement run rates for September and October, the Chairman firmly declined: "I don't want to get into this monthly, weekly at least".
- **Evading Credit Cost Run-Rate Commitments:** After the write-off policy change spiked credit costs to 50 bps, an analyst asked if it would normalize downwards in future quarters. The Chairman refused to commit, stating, "I would not want to really give a specific comment on that... suppose it becomes 52 basis points or 55 basis points... I don't want that question to be asked",,,
- **Deflecting Strategy Secrets:** When asked exactly what specific actions drove the massive growth in the "customer referral channel," the MD simply replied, "I'll take it offline". Similarly, they refused to discuss specific financial numbers regarding employee retention reward schemes.
- **Deflecting SME specifics:** When an analyst asked a specific question regarding the Small Business Loan (SBL) segment, the MD cut it short with, "So, we'll talk about it later".

3. Threats Posing a Risk to the Company

According to the annual reports and management discussions, the primary threats to the company include:

- **High Human Resource Attrition:** Management views the poaching of their trained field staff (sales and collections) by competing banks and new NBFCs as one of their biggest operational threats, noting attrition rates of 25% to 40% at the field level,,,
- **Vulnerability of the MSME/Informal Segment:** Serving low-to-middle-income customers without formal income documentation poses a constant threat, as these borrowers are highly susceptible to economic shocks and inflation, leading to potential spikes in defaults,,.
- **Intense Market Competition:** Increased aggressive lending by Small Finance Banks and new entrants in the affordable housing space threatens both pricing power (margins) and talent retention,,.
- **Interest Rate and Funding Volatility:** Dependency on external funding makes fluctuations in interest rates a threat to their spreads and Net Interest Margins (NIM),.
- **Climate Risks:** Natural disasters impacting property valuations, collateral recoverability, and construction progress in their core southern markets,,.

4. What Made Management Uncomfortable (Visible in Their Results)

- Fear of the Microfinance (MFI) Contagion:** The most visible discomfort was regarding small-ticket loans. Observing stress in the broader MFI and small-ticket LAP (Loan Against Property) sectors, management grew highly uncomfortable with their own < INR 7 lakh portfolio. Even though their own portfolio wasn't showing severe stress, the *perception* of risk forced them to abruptly halt all sourcing in this segment,,,,. This discomfort caused a highly visible, self-inflicted drop in their Q1 and Q2 FY26 disbursement growth,.
- The Stock Price Underperformance:** Management exhibited clear discomfort and defensiveness regarding their stock price performance post-IPO. When confronted by investors about poor stock returns despite high ROEs, management defensively stated they "don't have any hold on that," blamed macro market conditions, and repeatedly pointed out that 14 out of 17 analysts recommend a "buy," revealing frustration that the market was not rewarding their financial metrics,,,,.

Compare management execution stated in the earlier quarters with actual outcome in subsequent quarters. Compare and make a neat table. What risks were highlighted in earlier concalls repeatedly and how they were resolved / evolved / mitigated / ignored in subsequent quarters.

Comparison of Management Execution: Stated Goals vs. Actual Outcomes

Strategic Area	Stated Execution / Guidance (Earlier Quarters)	Actual Outcome (Subsequent Quarters)
Geographic Expansion	Expand contiguously beyond southern markets into Maharashtra and Odisha, starting with a few branches in FY24. Planned to aggressively scale to 40 new branches in FY26.	Successfully executed. The company reached 10 branches in these new states by Q3 FY25, scaled to 15 branches by Q2 FY26, and observed healthy customer traction, proving the contiguous expansion model worked.
AUM Growth	Consistently guided for a 25% to 30% AUM growth over the medium term to reach an eventual target of INR 25,000 crores by FY28/FY29.	Largely met, with slight recent moderation. AUM grew 29% in FY24, 27% in Q2 FY25, and 24% in Q1 FY26. Growth slightly moderated to 21% by Q4 FY26 (AUM: INR 13,107 crores) due to a deliberate policy shift halting small-ticket loans.

Ticket Size & Customer Profile	Shift focus to better-quality customers by increasing the Average Ticket Size (ATS) from INR 8.5 lakhs to INR 10-11 lakhs.	Aggressively executed with short-term pain. From July 2025, management completely stopped sourcing loans below INR 7 lakhs. This caused Q1/Q2 FY26 disbursement growth to plunge to 3% QoQ, but growth rebounded strongly to 21% QoQ by Q4 FY26.
Technology Rollout	Launch a new mobile-first Lead Origination System (Ziva) in April 2024 to streamline processes, improve turnaround, and boost collections.	Successfully implemented. Despite initial teething issues causing a slight dip in April 2024 disbursements, the system stabilized. By FY25, 90% of loans were approved within 72 hours , and digital agreements hit 92%.
Cost Control (Opex)	Maintain an industry-leading Operating Expenses (Opex) to Assets ratio in the range of 2.5% to 2.8% , despite branch expansion.	Consistently achieved. Opex to assets was maintained at 2.70% in FY24, 2.63% in FY25, and stood at 2.8% in Q4 FY26, effectively absorbing the costs of new branches and technology investments.
Tamil Nadu Growth Revival	Guided to revive growth in their core state of Tamil Nadu (which had slumped to single digits) back to 20% by addressing internal staffing issues.	Partially executed. While structural changes and incentive schemes were introduced, TN loan book growth only recovered to 14% by Q4 FY26 . Management admitted that intense competition poaching their staff kept growth below the company average.

Evolution of Key Risks Highlighted in Concalls

1. The Microfinance (MFI) and Small-Ticket Contagion Risk

- **Highlight:** Management repeatedly expressed discomfort regarding systemic stress observed in the broader microfinance and small-ticket Loan Against Property (LAP) segments.
- **Resolution/Mitigated:** This risk was **aggressively mitigated**. Even though Aptus's own portfolio under INR 7 lakhs was not showing severe stress, management preemptively **halted all loan sourcing below INR 7 lakhs starting July 1, 2025**. They accepted a significant short-term hit to their disbursement growth to permanently insulate the company from this high-risk segment, shifting their focus entirely to better-profile, higher-ticket customers.

2. Staff Attrition in Core Markets (Tamil Nadu)

- **Highlight:** High attrition at the branch manager and sales officer levels severely dragged down growth in Tamil Nadu.
- **Resolution/Evolved:** This risk **evolved into a chronic but managed issue**. Management tackled it by strengthening middle management, implementing productivity-based incentive schemes, and improving retention efforts. While Tamil Nadu's growth improved from 8% to 14% by Q4 FY26, management acknowledged that

competitors continuously target Aptus staff due to their strong reputation, making this an ongoing operational challenge.

3. Change in Accounting Policies Spiking Credit Costs

- **Highlight:** Aptus historically wrote off loans after 2 years (24 months). However, in FY26, they altered their accounting policy to accelerate 100% technical write-offs for loans outstanding beyond **500 days**.
- **Resolution/Absorbed:** This caused a sudden, sharp increase in recognized credit costs, jumping from ~20 bps to **50 bps**. Management **absorbed this risk** structurally, guiding that 50 bps would be the new normal run rate. The underlying profitability of the business was strong enough to absorb this higher credit cost while still delivering an industry-leading Return on Equity (ROE) of over 20%.

4. MSME/SME Portfolio Delinquencies

- **Highlight:** During Q3 FY26, management flagged a slight uptick in Non-Performing Assets (NPAs) and a drop in collection efficiency specifically within the Small Business/MSME loan segment.
- **Resolution/Mitigated:** Management investigated and found that the stress was not due to failed business models, but rather because borrowers temporarily diverted business funds for personal consumption (like health issues or marriages). They **mitigated this by ramping up targeted collection efforts** and tighter monitoring at the state and head-office levels, successfully bringing the bounces back under control by Q4.

5. Seasonality, Weather, and Elections

- **Highlight:** Repeatedly across quarters, management highlighted short-term dips in disbursements or collection efficiency due to unprecedented floods, summer heatwaves, national elections, or clustered festive holidays.
- **Resolution/Ignored:** Management largely treated these as **transient, exogenous factors to be weathered rather than structural risks**. They typically "ignored" them in long-term planning, correctly predicting that collection efficiencies and construction progress would naturally normalize in the immediately subsequent months once the events passed.

- Overall, how has the stock shaped itself in the past 12 quarters and what can be projected with this repo?

Based on the provided earnings call transcripts and annual reports over the past 12 quarters, here is how the stock has shaped up and what can be projected based on this repository of information:

1. Stock Performance: Persistent Underperformance Despite Fundamental Growth The most dominant theme regarding Aptus's stock is a stark disconnect between the company's strong operational metrics and its stagnant share price.

- **The IPO Hangover:** Aptus went public in August 2021. By May 2023, investors pointed out that the stock was consistently underperforming and trading **"30% below the IPO price"**.

- **Continued Frustration in Later Quarters:** This frustration persisted all the way into the February 2026 earnings call, where an investor bluntly stated that despite 4 to 5 years of consistent revenue and profit growth since the IPO, "**the only guy who is not paid after the IPO is shareholder**".

2. The Root Cause of the Disconnect

The transcripts reveal why this disconnect exists:

- **Valuation Mismatch:** During the IPO, the stock was priced at a very high valuation (a "50 high P/E," according to an investor), which baked in expectations of a >40% CAGR growth. However, management has consistently guided for a more sustainable, but lower, growth rate of 25% to 30%, which was further moderated to 22% to 24% in late FY26 due to strategic shifts. The market appears to have punished the stock for not meeting those initial hyper-growth expectations, despite Aptus delivering industry-leading fundamentals.
- **Macro Headwinds:** Management has repeatedly defended themselves by stating that they are delivering exceptional operational results but have "no hold" on the stock market, attributing the sluggish share price to broader international and market headwinds.

3. Management's Mitigation Strategy: Dividends Over Capital Appreciation

Faced with a stagnant stock price, management has had to find other ways to reward shareholders:

- **Inability to Buy Back Shares:** When asked if the company could initiate a share buyback to boost the stock price, management clarified that Indian regulations do not permit NBFCs to do buybacks.
- **Shift to High Dividend Payouts:** Consequently, the company has utilized its strong internal cash generation to pay out significant dividends. The dividend payout ratio has been maintained at a robust 35% to 37%. Management views this as the primary lever to reward shareholders while the stock price catches up to the company's fundamentals.

4. Projections Based on This Repository

Looking ahead, based purely on the management's commentary and business trajectory outlined in these documents, the following can be projected for the stock and the company:

- **Fundamentals Will Provide a Strong Floor:** Management projects they will reach an AUM of INR 25,000 crores by FY2028/FY2029 through a sustained 22% to 25% CAGR. They are highly confident in maintaining a best-in-class Return on Equity (ROE) of over 20% and a Return on Assets (ROA) of ~6.7% to 7%. As the Chairman pointed out in 2026, 14 out of 17 market analysts covering the stock have a "buy" rating, indicating that the underlying financial foundation remains rock solid.
- **Returns Will Be Dividend-Heavy:** Because the company requires minimal external equity to grow (due to low leverage and high profitability) and cannot execute buybacks, investors should project that a significant portion of their near-term returns will come from consistent dividend payouts rather than rapid capital appreciation.
- **Stock Price Appreciation Requires Patience:** The stock is likely to remain somewhat range-bound until the company's compounding earnings fully "grow into" and absorb the high multiples set during its 2021 IPO. Capital appreciation will rely on the market eventually aligning the stock price with Aptus's steady 25% earnings compounding, rather than sudden, explosive momentum.

Consize your response of all questions above and make it a maximum of 3 a4 pages with font size 11

Here is a consolidated and concise executive summary of all your queries regarding Aptus Value Housing Finance's management commentary, execution, and stock performance over the analyzed quarters.

1. Core Themes and Strategic Evolution

Management's narrative has been highly consistent, focusing on profitable growth, though operational tactics have evolved:

- **Balancing Growth & Profitability:** The medium-term goal shifted from maintaining a 25–30% AUM growth rate to explicitly targeting an AUM of INR 25,000 crores by FY2028/FY2029. They consistently prioritize profitability, upgrading their Return on Equity (ROE) milestone from ~16-17% to a sustained >20%.
- **Geographical Expansion:** The strategy evolved from solely deepening penetration in core southern states to contiguous expansion into Maharashtra and Odisha, where branch additions accelerated after successful pilot testing.
- **Strategic Shift in Ticket Size:** The most notable evolution was a strict policy shift starting July 2025 (FY26) to halt sourcing loans below INR 7 lakhs to distance the company from microfinance-like risk profiles, deliberately pushing the average ticket size to INR 10-11 lakhs.
- **Digitalization & Cost Control:** A relentless focus on maintaining an industry-leading Opex-to-Assets ratio of 2.5% to 2.8%, supported by the rollout of their mobile-first lead management software, "Ziva," and digital sourcing channels (customer apps) accounting for ~21% of leads.

2. Demand Language and Performance Attribution

- **Robust Demand Perception:** Management consistently describes housing demand in Tier 3 and 4 towns as "robust" and "huge". During periods of underperformance, they explicitly insulate market demand from their results, stating the "market potential is good" and "demand is not the issue".
- **Acceptance of Internal Issues:** Management openly accepted responsibility for self-inflicted headwinds. They acknowledged that sluggish growth in Tamil Nadu was an internal issue caused by field-level staff attrition. They also accepted that the sharp Q1/Q2 FY26 drop in disbursement growth (to 3% QoQ) was a "calibrated conscious" internal decision to halt small-ticket loans. They owned the short-term disruptions caused by the Ziva IT rollout and an accounting policy change that accelerated technical write-offs to 500 days.
- **Blaming External Factors:** Short-term dips in collections or disbursements were frequently blamed on external variables: unprecedented floods/rains, summer heatwaves, national elections, and clustered festive holidays.

3. Management Evasions and Discomforts

- **Evaded Questions:** Management repeatedly deflected requests for specific granular data. They refused to provide absolute monthly/weekly disbursement run rates ("I don't want to get into this monthly"), evaded committing to

future credit cost normalization after the accounting policy change, and declined to explain the exact mechanics behind their customer referral channel growth ("I'll take it offline").

- **Visible Discomforts:** Management showed extreme discomfort regarding systemic stress in the microfinance (MFI) and small-ticket Loan Against Property (LAP) sectors. This fear of contagion forced them to abruptly abandon the < INR 7 lakh segment. They also exhibited defensiveness regarding their stagnant stock price, expressing frustration that they were delivering exceptional operational results but had "no hold" on market valuations.

4. Threat Perception and Risk Mitigation

- **High HR Attrition:** Poaching of field staff by competitors remains a chronic threat (25-40% field attrition). Management mitigated this by strengthening middle management and introducing productivity-linked incentives, though it remains an ongoing challenge.
- **Small-Ticket / MFI Contagion:** Management mitigated the threat of informal-segment vulnerability by entirely halting sub-7 lakh loans.
- **Credit Costs:** The accounting policy change (writing off loans at 500 days instead of 2 years) spiked credit costs to 50 bps. Management structurally absorbed this risk, guiding that the business's high yields and profitability could easily handle the elevated provision levels.

5. Execution vs. Stated Goals

- **Geographic Expansion:** Successfully executed the scale-up in Maharashtra and Odisha, proving the contiguous model.
- **AUM & Opex Goals:** Consistently met AUM growth targets (~25-30% historically, moderating slightly to ~22-24% during strategic shifts) and successfully maintained the target Opex ratio of 2.5-2.8%.
- **Ticket Size Upgrade:** Aggressively executed, accepting a short-term plunge in disbursement growth to fundamentally upgrade borrower quality.
- **Tamil Nadu Revival:** Only partially executed. Despite structural interventions, growth improved to 14% but continued to lag the overall company average due to intense competitor poaching.

6. Stock Performance and Projections

- **The Disconnect:** Aptus has suffered from a persistent "IPO hangover." Despite delivering consistent profit growth and industry-leading ROAs/ROEs, the stock has underperformed and traded below its 2021 IPO price. This is rooted in a valuation mismatch: the IPO was priced for hyper-growth (>40% CAGR), while management has consistently delivered a more sustainable 25-30% compounding rate.
- **Shareholder Return Strategy:** Unable to execute share buybacks due to NBFC regulations, management leverages high internal cash generation to reward shareholders through robust dividend payouts (35-37% payout ratio).
- **Future Projections:** Based on the management's trajectory, the foundational metrics provide a strong floor (projected INR 25,000 cr AUM by FY28/FY29 and >20% ROE). Because capital appreciation requires the market to "digest" the IPO multiples against steady compounding, investors should project that near-term returns will be

heavily supplemented by these consistent dividend payouts while the stock price catches up to the company's operational realities.